Project Everest: EYs split making Partners quit

Comp Strat 542: The Final Project (EY)

Since when did a consultancy need a consultant?

Shubham
Safaya

The split will impact 13,000 Partners and 300,000 employees

- On Sep 8, 2022, EY announced that they will split into two businesses, the accounting and consulting firm.
- The proposed split must be approved by the more than 10,000 EY partners who work in 140 countries.

Will the split be a boon or a bane for EY?

Technology will pave a new way for auditing to be performed

SOCIAL

- A staggering 100% of the Fortune 500 are audited by one of the Big 4 accounting firms and EY audits 30% of them.
- Companies are relying on in-house strategy because scandals leading to loss in trust in Big 4 brand.

TECHNOLOGICAL

- A survey found that 53% of Big 4 clients say blockchain has become a critical priority for their organizations, and 83% see compelling uses for blockchain.
- Digitalization of the auditing process by Big 4 has resulted in use of AI and blockchain in auditing of financial reports of the companies.

ECONOMICAL

- Three out of four Big 4 Firms have announced $9 Billion pledge that it would make investment in technology stems strategic decision to make automation and artificial intelligence central to its future,
- Impact of COVID-19 on consulting industry

ENVIRONMENTAL

- Major investors, managing around $4.5 trillion, have warned the Big four audit firms they will vote to stop the firms working for the companies they invest in at AGMs from next year if audits do not integrate climate risk. An escalation in the group's efforts to ensure investors were armed with robust information.

POLITICAL

- A study for the European Parliament has estimated that corporate tax avoidance costs the EU between €50 billion and €70 billion a year – and could even be as high as €160-€190 billion.
- In June, EY had to pay a $100 million fine after U.S. securities regulators found that hundreds of its auditors had cheated on ethics exams.

The split along with the IPO will result in partner retention

	EY Split is approved	
EY IPO is announced	Could trigger stock windfalls of as much as $8 million each for the consulting partners, according to the Financial Times. Even the partners in the audit firm left behind could get payouts averaging about $2 million each.	The new EY consulting business will hold around 60% of revenue, and audit will hold around 40% of revenue. With the split, the consulting business may go publicly listed with equities being distributed to EY partners and EY employees.
	An IPO could raise $10 billion in a sale of 15% of the business, plus $17 billion of debt, according to the Wall Street Journal.	Partners staying at the auditing business would receive a cash payout of $1.7 million to $3.6 million, at the consultancy firm would receive stock awards worth $5.95 million to $8.1 million.

EY Earnings must be at par in both the branches after the split

D

- Partners have been promised big payouts if the break-up goes ahead.
- Listing of consulting business on the stock market late next year.

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- Global split resulting in an extra $10bn a year for the consulting arm in advisory fees.
- Consulting operations will be more profitable as they're less constricted by conflict-of-interest rules that could limit the services they can provide to clients.

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- The U.K. Financial Reporting Council (FRC) has asked the Big Four to agree to an operational split of their audit practices by 2024.
- After the split, the audit business will have a significantly lower level of earnings.

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- EY needs to perform the split before the other Big 4 start the same converting it into a red ocean.
- Improve company policies to avoid huge conflicts.
- The split must not weaken any of

EY Lack of coordination resulting in poaching, needs to be avoided

STRENGTH

- Global reach
- Innumerable services
- Among the first to foray blockchain and AI
- Strong Financials ensure sustainable growth
- Mergers and Collaborations
- Expert Professionals

WEAKNESS

- Disputes that impacted the brand
- Resourcing to pension contributions
- Resources need to be distributed amongst teams
- Lack of coordination
- Lack of clarity on leaders of both service lines

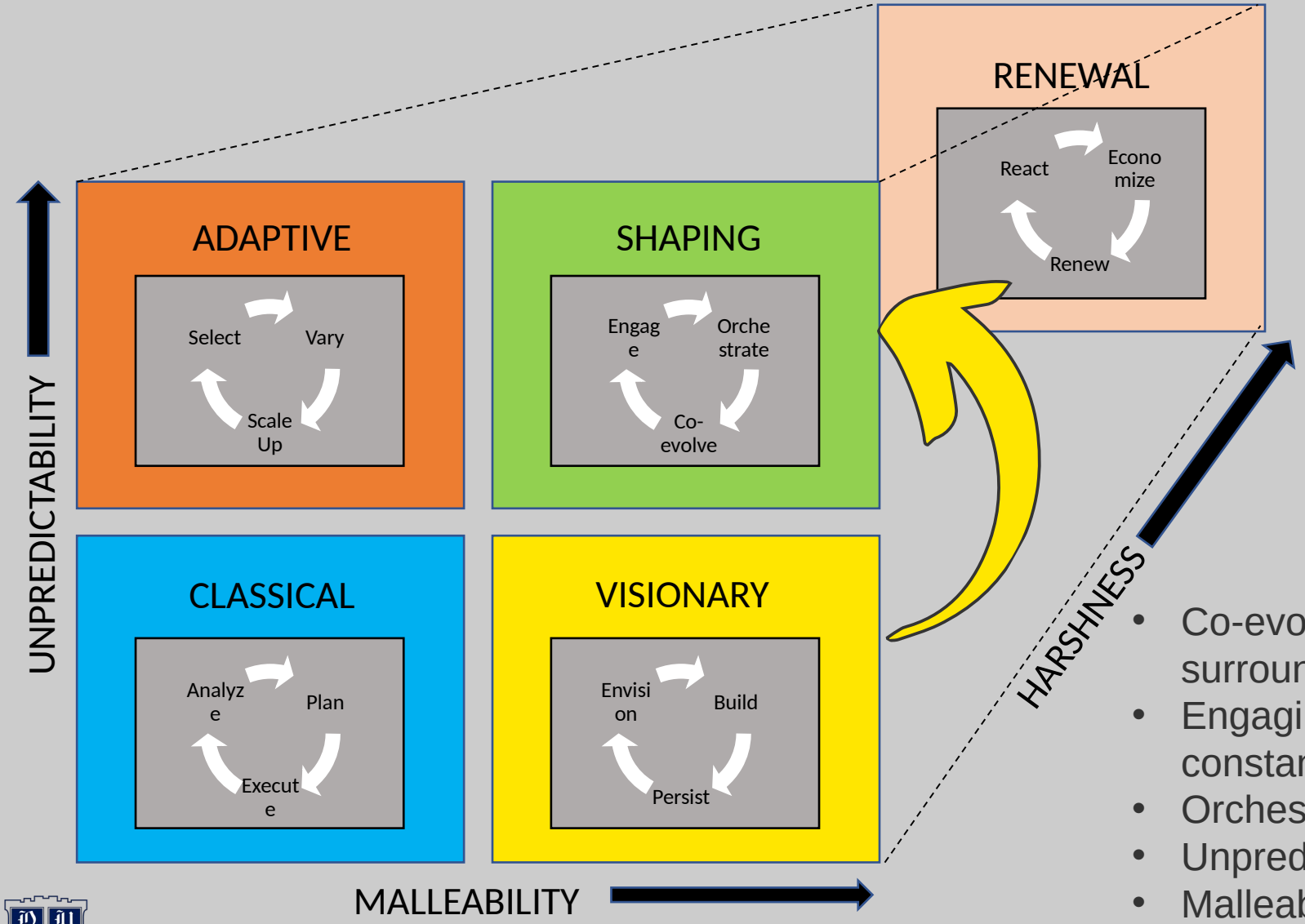
OPPORTUNITY

- Outsourcing of taxation by business may generate more opportunities for EY
- Stable cash flow
- Attract and retain talent
- Technological development

THREAT

- Public disputes
- PwC US aims to poach EY partners as global split looms
- Government policies
- Multiple lawsuits being filed may hamper their reputation

EY should jump from visionary to co-evolve and become the first mover



- Co-evolving by positively impacting surroundings
- Engaging clients and customers through constant feedbacks
- Orchestrating better offerings
- Unpredictability: High
- Malleability: High
- Harshness: Low

EY can focus on expanding on its revenue streams after the split

KEY PARTNERS

- Alliance with Microsoft Corporation in which it uses Microsoft's cloud and data platforms
- Global alliances (GE Digital, IBM, and SAP)
- Internet of Things integrators
- Collaborators with Los Alamos National Laboratory to help combat cyber threats
- Sports sponsorship

KEY ACTIVITIES

- Consulting
- Management
- Training
- Finance
- Compliance
- Marketing
- Big Data analytics

KEY RESOURCES

- Brand
- Honors
- Leadership professionals
- Infrastructure
- Network of partners
- Facilities

VALUE PROPOSITIONS

- To build a better working world
- To provide global services to help you retain the confidence of investors
- To strengthen your controls and achieve your potential
- Wide range of professional services (Assurance, Tax, Advisory, and Transaction Advisory Services)

CUSTOMER RELATIONSHIPS

- Dedicated personal assistance
- Self-service
- Online services

CHANNELS

- Partners
- Website
- Client Portal
- Reports
- Newsletters
- Summits
- Social Media pages

CUSTOMER SEGMENTS

- Fortune 500
- Firms of all industries and sizes desiring professional services

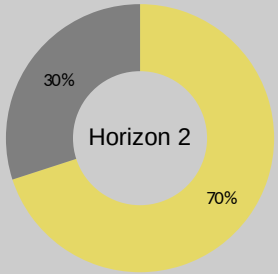
COST STRUCTURE

- Services
- Customer support
- Operations
- Administration
- Management
- Offices

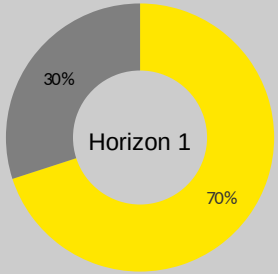
REVENUE STREAMS

- Fee charged to clients for a range of services
- Cross-selling

Split will be responsible for dinners and golfing in the year ahead



- The Pension Obligation
- Bifurcation of the Tax service Line
- AssureCo Leadership
- AssureCo Resources



- Split the auditing and consulting services
- Announce the IPO
- Avoid Poaching
- Improve policies to avoid fines and conflicts

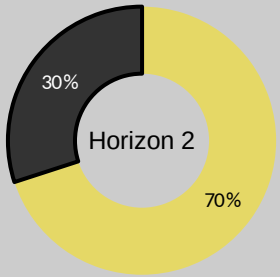
0 – 12 months

12 – 24 months

Improvements to existing technologies and addressing pain

Focusing on collaborating

EY partners eyeing multimillion-dollar payouts, will stay as a backbone



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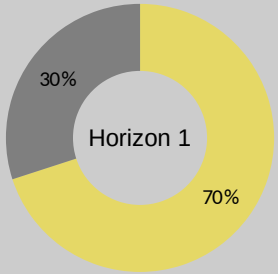

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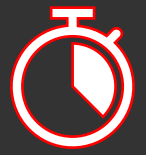

12 – 24 months

Improvements to existing technologies and addressing pain

Focusing on collaborating

Strengthen the core, split equally, and improve on policies

1

Split the auditing and consulting services

- Before it becomes a red ocean and all the other Big 4 jump in to split amongst themselves, be the first mover.

2

Announce the IPO

- Generate secondary source of income by filing the IPO

3

Avoid Poaching

- Make the partners stay along with the staff by being transparent and have open communication.

4

Improve policies to avoid fines and conflicts

- Save brand value by avoiding conflicts that arise due to negligence of team members.

Pave the pathway for a transparent leadership and abundant resources

1

The Pension Obligation

- In any event, pension obligation should be funded 100% i.e., $7.5 billion to AssureCo

2

Bifurcation of the Tax service Line

- The overall tax service line can be kept together while being continued as a critical component of AssureCo.

3

AssureCo Leadership

- Leadership decisions should be kept open and concluded in a transparent manner finalizing on CEO of both firms.

4

AssureCo Resources

- The transparency surrounding on resource and service line allocations, ensuring that both teams agree final decisions.

THANK YOU